

HIGH-RISK VENDOR PAYMENT HOLD SOP

Standard Operating Procedure | SOP No. SOP-HRP-011 | Version 3.1

SOP Number:	SOP-HRP-011
Version:	3.1
Effective Date:	October 18, 2024
Process Owner:	Aaron Garcia (EMP-66553) — Senior Manager
Applicable System(s):	Audit Assistant Platform / ERP / Finance System

1. PURPOSE

This SOP defines the standardised process for high-risk vendor payment hold to ensure consistency, control effectiveness, and audit traceability across all business units.

2. PROCESS FLOW

- 1
- Step 1: Vendor risk_rating elevated to HIGH or CRITICAL triggers payment hold flag
- 2
- Step 2: Finance system blocks automatic payment release
- 3
- Step 3: Procurement and Risk teams jointly review payment necessity
- 4
- Step 4: Manual override requires dual approval at Director level or above
- 5
- Step 5: Hold is lifted only after risk reassessment or compensating controls

3. ROLES AND RESPONSIBILITIES

Role	Responsibility
Risk Analyst	Reviews and approves at designated control point
Internal Auditor	Initiates and validates process inputs
Procurement Analyst	Reviews and approves at designated control point
Department Head	Reviews and approves at designated control point

4. CONTROLS

This process incorporates the following key controls: (i) system-enforced validation against the Delegation of Authority Policy; (ii) mandatory documentation attachment prior to approval; (iii) periodic exception reporting to Internal Audit; and (iv) quarterly process effectiveness review.

5. EXCEPTION HANDLING

Any deviation from this SOP must be documented with justification and approved by Senior Manager or delegate. Exceptions are logged in the exception register and reviewed monthly by the Risk Committee. Repeated exceptions of the same type will trigger a process redesign review.

6. RELATED DOCUMENTS

This SOP should be read in conjunction with the Delegation of Authority Policy, the Internal Audit Charter, and the relevant functional policy governing this process area.